

Directorate of Industries & Commerce
Government of Tripura
Khejurbagan, Agartala - 799006

F.NO. 1-2(44)/GEO/DI/2022/Part-II/936-49 Dated, 20th January, 2023.

NOTIFICATION

Sub - Tripura City Gas Distribution (CGD) Policy, 2022.

U.O. 287 (12.12.2022) - In exercise of the approval conferred by Memorandum vide No F.1(9)/GA/(CAB)/2021(P)-XXVIII dated 12th January 2023 under Rule 15 (1) of the Rules of Executive Business, the Government of Tripura hereby implements the "Tripura City Gas Distribution (CGD) Policy, 2022".

(1) This Scheme may be called the Tripura City Gas Distribution (CGD) Policy, 2022".

(2) This Scheme will be applicable throughout the State for developing a City Gas Distribution (CGD) network (including PNG network) in a specified Geographical Area (GA) accorded by Petroleum and Natural Gas Regulatory Board (PNGRB).

(3) The Scheme shall come into effect from the date of issue of this notification.

By order of the Governor,

Chandra

12.1.23.

(ABHISHEK CHANDRA, IAS)

Special Secretary
(Industries & Commerce)

Copy to:-

1. Secretary to the Governor, Tripura.
2. Secretary to the Chief Minister, Tripura.
3. All Principal Secretaries / Secretaries / Special Secretaries, Government of Tripura.

4. Chief Electoral Officer, Tripura, Agartala.
5. PS to the Chief Secretary, Government of Tripura.
6. Offices of all Ministers, Tripura.
7. The Accountant General (A&E), Tripura.
8. Finance (Estt. Br.) / (SA) / Home Department, Secretariat, Tripura.
9. Director, Fire & Emergency Services/Secondary Education Department, Tripura.
10. Treasury Officer, Agartala Treasury No.I & II , West Tripura.
11. Director, Information Technology, Agartala for uploading in the State Portal.
12. Copy for uploading in the GA (P& T) Department website.
13. Manager, Tripura Government Press, Agartala for publication.
14. All City Gas Distribution (CGD) entities (TNGCL AGCL).

Abhishek Chandra
17.1.23.

(ABHISHEK CHANDRA, IAS)

Special Secretary
(Industries & Commerce)



GOVERNMENT OF TRIPURA

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TRIPURA CITY GAS DISTRIBUTION POLICY 2022

1. Introduction:

Natural Gas has become the global standard for clean fuel in the non-renewable category. Other than reducing the carbon and lead imprint; it also provides a cost-effective domestic and industrial heating medium, a transportation fuel (in the form of CNG), and reliable captive power-generation source. Tripura is endowed with reserves of natural gas and this gives the right impetus for utilizing the fuel more comprehensively to actualize the concept of a gas-based economy for the State. Therefore, the Government of Tripura has recognised the importance of the development of City Gas Distribution (CGD) infrastructure in urban, rural and industrial areas for providing eco-friendly clean energy to domestic, industrial, commercial and transport sectors.

In this context, providing Natural Gas to domestic households has become an essential public utility service for which the Central Government has already granted "Utility Status" to CGD services. Therefore it has been deemed necessary to bring uniformity, clarity and simplification to the process for providing permissions to Authorised Entity (CGD Entity) for the development of City Gas Distribution (CGD) infrastructure in the State. Therefore, the Tripura **City Gas Distribution (CGD) Policy 2022** has been formulated to enable systematic, regulated and time-bound implementation of City Gas Distribution (CGD) networks in the State of Tripura.

2. Need for CGD Policy in the State:

- To provide time bound clearances within 30 days of application by different organization/agencies for laying pipeline, permissions are required from Land owning agency / Civic agency/Municipal Corporation, District Magistrate, Defence, PWD, Land & Revenue, Panchayat, TSPCB& availability of land for CNG stations and earmarking the same during town planning.
- During town planning permission and Clearances required for starting CNG Stations with in the permissible time (not more than one month)

2.1 Objective of the Policy:

- Promote adoption of CNG and PNG by the State as Green and Clean fuel.
- Ensuring uninterrupted supply of PNG / CNG to all sector.
- Ensure faster implementation of CGD infrastructure in the State.
- Bringing transparency in gas business.
- Develop safe culture of natural gas distribution & consumption.

3. Policy Intervention under CGD Policy

3.1. Permissions/Clearances from Local Bodies: Laying of CGD Pipe Line Network:

- CGD network is a public utility and natural gas supply to domestic, commercial, industries and transport sector is its prime objective.
- CGD pipe line network is required to be laid along National Highway/ State high ways/ village roads/ district roads and within jurisdiction of municipal/panchayat bodies.
- The applications for all RoU permissions and utility crossings for laying underground gas pipelines shall have to be submitted by authorized CGD entity through single window portal of SWAAGAT under Ease of Doing Business (EODB).
- The authorized Service Provider companies, while laying and maintaining gas pipelines, shall comply with all applicable

State Government and Central Government Acts, Rules and Regulations.

- Building by-laws: Relevant buildings by-laws will be modified for providing gas pipeline infrastructure in residential and commercial buildings at architectural design stage through TUDA and ULBs & Panchayet.
- Suitable instructions will be issued to Tripura Real Estate Regulatory Authorities for ensuring mandatory provision of PNG facilities in the multi-storied buildings.

3.2. Road Restoration:

Presently there is no road restoration charge. In order to facilitate the network, following actions will be initiated:

- a) With regard to the granting of permission for road cutting for utilization of the road for laying of CGD pipelines, and restoration thereafter, in urban and rural areas, as well as highways; one SOP shall be notified by the State PWD and Revenue Department jointly.
- b) The Right to Fair Compensation and Transparency in Land Acquisition Rehabilitation and Resettlement Act, 2013 is an Act of Indian Parliament that regulates land acquisition and lays down the procedure and rules for granting compensation, Rehabilitation and Resettlement to the affected persons in India. This act will be adopted for land accusation/ROU and other relevant purposes for laying pipeline in the State.
- c) Nothing in this Policy shall over write the existing Laws and Rules laid down by Central Govt./ Authority / Bodies for bringing changes as permissible by Law

3.3. Adoption of CNG/LNG as Preferred Transportation Fuel:

- a) The vision of the State Government is to make Tripura as the "CNG State". Efforts shall be made to convert maximum number of petrol / diesel vehicles into CNG vehicles.
- b) Tripura Road Transport Corporation (TRTCL) and TUTCL will accord priority to CNG buses while purchasing new buses and also carry out retrofitting of existing fleet, in order to actively promote the usage of CNG in the public transport.

- c) Efforts will be taken to convert vehicles utilized/engaged in various Government Departments (Cars, Buses, Ambulances, Delivery Vans, Goods Carriers, etc.) to CNG.

3.4. Setting up of CGS, DRS, TOP, SVS and CNG Stations – Role of State Government

Departments and Agencies:

- While the authorized CGD Entity in the GA concerned seeks to set up City Gate Station (CGS), District Regulating Station (DRS), Tap-Off Points (TOP), Sectionalizing Value Stations (SVS) and Compressed Natural Gas (CNG) Stations, the concerned Government Departments and agencies shall facilitate the same by ensuring timely granting of permissions within 30 days, as per the SOP, to be notified.
- **Identification of Land / Plot for CNG Stations:** As per Govt of India MoPNG (PNGRB) norms, the earmarking of land/plots for development of CNG Stations at the planning stage of town/city may be specified. The DM & Collector in consultation with Industries & Commerce Department and Revenue Department will earmark/identify suitable plot for setting up of CNG Station in different location in the concerned District;

3.5 Adoption of PNG as preferred fuel in industrial Sector, Tea Estate & Brick Kilns:

- At present, PNG is available in A.D Nagar, Badharghat, Dukli Bodhjunnagar Industrial Estates. Under this policy Industries & Commerce Department will take initiative so that all the Government Industrial Estates are connected by PNG pipeline network.
- There are about 54 Tea Estate and 21 Tea processing factories which are producing about 9 million kg of tea every year. Under this policy provision will be adopted for connecting tea gardens with PNG pipeline networks.
- In Tripura there are about 350 brick kilns in which more than 1 lakh workers are engaged. Coal is mostly used as fuel in the brick kilns. In order to curb the air pollution and adopt the direction of Tripura State Pollution Control Board, the brick kilns would be connected by PNG while giving registration or by conversion of the coal-based brick-kilns into PNG based brick-kilns.

4. Institutional Structure:

4.1 Nodal Department:

Department of Industries & Commerce, Govt. of Tripura shall be the Nodal Department for supervising the work of the execution of the CGD Policy in the State.

4.2 Nodal Officer:

- a. Secretary to the Govt. of Tripura, Industries & Commerce Department shall be the Nodal Officer of the State.
- b. Under this policy the District Magistrate will be the Nodal Officer at District level. The District Nodal Officer shall discharge the duty by ensuring swift and timely approvals. In case of any delay in permissions/approvals beyond the timeline prescribed in this Policy, the issues will be forwarded to State Nodal Officer.
- c. The Nodal Officers shall co-ordinate works and issues related to the Central Government agencies like Railways, PESO, NHAI, NHIDCL, NBWL, etc at their respective levels.

4.3. State Level Committee (SLC):

- A Committee will be constituted under the Chairmanship of the Chief Secretary which will facilitate creation of CGD infrastructure and value added services by formulating policies and streamlining the processes for various permissions.
- Composition of the Committee is as follows:
 - i. Chief Secretary – Chairman
 - ii. Secretary In-charge Finance Department – Member
 - iii. Secretary In-charge PWD Department – Member
 - iv. Secretary In-charge Industries & Commerce – Member
 - v. Secretary In-charge Revenue Department – Member
 - vi. Secretary In-charge Transport Department – Member
 - vii. Secretary In-charge Urban Development Department – Member
 - viii. Secretary In-charge Food and Civil Supplies – Member
 - ix. Secretary In-charge Education Department – Member
 - x. Secretary In-charge Social Welfare Department – Member
 - xi. Representatives of Authorized CGD entities – Member.
 - xii. Representatives of Gas Producing Agencies – Member
 - xiii. Representatives of Gas Marketing Agencies – Member
 - xiv. Director, Industries & Commerce – Convenor.

4.3.1. Periodicity of Meetings:

The Committee will meet atleast once in three (3) months for reviewing the expeditious development of CGD Networks and otherwise as per need.

4.3.2. Key Functions of the Committee:

The Committee will suggest measures which may, inter-alia, include following:

- i. To review the progress of CGD infrastructure in all parts of the State.
- ii. It will guide for promoting PNG and CNG through Conversion of State Transport Corporation buses to CNG.
- iii. To suggest various ways and means to central and state governments to promote usage of PNG and CNG by all segments of consumers including industrial and commercial as a preferred fuel.
- iv. To address issues related to safe CGD operations and all interfaces with Government arising out of safe operations and emergency management.
- v. To ensure that various Departments follow the SOP/Policy mechanism/Rules/Regulations along with timelines for expeditious Development of CGD infrastructure including following major heads.
 - a. Permission for laying the pipeline Networks.
 - b. Restoration Charges & Mechanism
 - c. Acquisition and usage conversion of Land
 - d. Earmarking of land for development of CNG Stations at the planning stage of town/city in the Master Plan.
 - e. Provisions of PNG pipelines / networks during architectural design and construction stages while developing new building infrastructure.
- vi. To deal with issues related to taxation, land rates, utility and infrastructure status, ease of doing CGD business in line with that of other utility programs such as telecom, electricity, water etc.
- vii. To coordinate with all Nodal Agencies and other stake holders for faster implementation of the policy objectives set out under this policy.
- viii. Alignment with various Government initiatives.

- ix. It will ensure setting up of a suitable Single Window Clearance Mechanism in the State for the promotion and development of CGD infrastructure.
- x. The Committee will address the issues referred by Nodal officers, Nodal Department, CPSUs and Central Govt Department pertaining to CGD network and resolve the same. It would also bring out the necessary regulatory work/ changes in coordination with different Ministry.

5. Power to issue and interpret:

If there is any confusion or dispute about the meaning, intent or purpose of any provision of this policy, the interpretation given by the State Level Committee will be final.

6. Mandatory Safety Measures:

The City Gas Distribution Policy for the state of Tripura adopts the following Safety Policy in the interest of general public of the state.

6.1 Compressed Natural Gas (CNG)

- The CNG consumer shall ensure installations of approved kit and comply with safety guidelines issued by the PESO & CGD entity and Govt of India Gas Cylinder rule 2016.
- If a petrol car is converted into a CNG car, the vehicle owner is required to take permission from the RTO and update the fuel type information on the Car Registration Certificate (RC).
- The vehicles which are convert to CNG before completion of 8 years from the date of registration or the vehicles which are originally registered as CNG/LPG vehicle will be allowed to ply up to 8 years from the date of conversion or up to 16 years from the date of registration respectively whichever comes later.
- Every three years (the Indian Standards 8451: 200 & Gas Cylinder Rules, 2004), the CNG car must get the CNG cylinders inspected and hydro tested at PESO approved cylinder testing station.
- An "compliance plate" should be affixed in Car by Hydro Testing Centres, indicating that cylinder is safe which will be checked at CNG stations before filling the CNG.
- Hydro Testing should be done by PEST & Government Approved CNG Hydro Testing Centers only. The approved Hydro Testing Centers are enlisted in GoI portal (link <https://peso.gov.in/web/approved-cng-cylinders-testing-station>)

- The pipeline operator should conduct schedule Natural Gas Pipeline testing in every 3-12 months and Pipe Inspection should be done through statutory Compliances defined in various relevant regulation and guidelines (ANSI/ASME B 31.8, OSID-226, OSID-179, PNGRB T4S etc).
- The following basic amenities shall be provided at CNG stations:
 - (a) Safe and potable drinking water;
 - (b) Free air;
 - (c) Clean and functional toilets;
 - (d) Consumer complaint box;
 - (e) Safety kits, fire extinguishers and other safety related equipment;
 - (f) Shelter for passengers off loaded before refilling of vehicles on a best endeavour basis.
- If any contractor engaged by any organisation in excavation or cutting, prior information should be given to the CGD entity and NOC should be obtained. In case of any damage or disruption caused by excavation on the pipeline shall have to pay a penalty for the disruption caused to the owner of the pipeline. The Nodal Authority shall ensure that the payment is made to the aggrieved entity without delay.

6.2 Piped Natural Gas (PNG)

- Consumer shall make use of the PNG supply for the registered premises only and shall not re-supply to any other person under any circumstances.
- The PNG metering equipment shall be sealed and have appropriate protective devices to prevent or detect interference or tampering.
- The entity shall serve at least 7 days notice to consumers before any planned interruption in gas supply. These interruptions indicated above are excluding any interruptions due to force majeure or contractual interruptions.
- Every entity shall comply with the following code of practice with reference to unplanned network interruptions which include unexpected interruptions resulting from inadequate network capacity or gas supply, leakages, mechanical pipe or plant failure, third party actions, human tempering with an intention to cause destruction or any other such cause; namely:-
 - (i) Set up an emergency response team and responsibility chart for handling any unplanned interruptions or emergency.

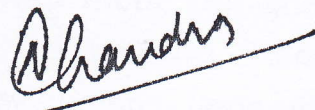
- (ii) Set an emergency response time to address an emergency situation.
- (iii) Provide real time information to affected parties about nature of interruptions and expected duration of interruption.
- (iv) Necessary arrangement (equipment and skilled manpower) for mitigating the hazardous/ emergency situation.

7. Grievance Redressal Mechanism:

- District Nodal Officer shall take a monthly review for all the complaints/ grievances lodged by consumers or any Regulatory Authority or any authorized CGD Service Provider.
- The complaint lodged by the public or any regulatory Authority shall be forwarded to concerned authorized CGD Service Provider within 3 (three) working days; and the authorized CGD Service Provider shall have to address the same and will submit the compliance of each complaint within 7 (seven) working days to the District Nodal Officer.
- The complaints lodged by authorized CGD Service Providers to the District Nodal Officer shall be forwarded to concerned authorities within 3 (three) working days; and the concerned authority shall have to address the complaint and submit the compliance to the District Nodal Officer within 7 (seven) working days.

8. General Provisions:

- a) The authorized Service Providers of CGD services shall have 80% of their total employees from the State.
- b) In case of any discrepancy in the interpretation of the Policy, the decision of State Level Committee shall be final.
- c) The State Government shall reserve the right to modify the Policy and to amend any clause to the Policy.



Abhishek Chandra (IAS)
Special Secretary to the Government of Tripura,

Definitions: (Annexure-‘A’)

In the context of this Policy, unless the context otherwise requires,

3.1 “Policy” means Tripura City Gas Distribution Policy 2022

3.2 “State” means the State of Tripura

3.3 “State Government” means the Government of Tripura

3.4 “Central Government” means the Government of India

3.5 “Ministry” means the Ministry of Petroleum and Natural Gas, Government of India

3.6 “PNGRB” means Petroleum & Natural Gas Regulatory Board

3.7 “CGD” means City Gas Distribution

3.8 “GA” means Geographical Areas

3.9 “SOP” means Standard Operating Procedure

3.10 “MDPE” means Medium Density Poly Ethylene

3.11 “Service Provider” means any person authorised by PNGRB who seeks permission for laying gas pipeline of CGD in the State of Tripura, and provide CGD services in its respective allotted GA.

3.12 “Department”, unless otherwise specifically mentioned, means the Department/ Agency of the State Government or Central Government which is responsible for construction, operation and maintenance of that road. For example, for National Highways, it may be NHAI, NHIDCL or State PWD (NH & Buildings). For State Roads, it may be PWD (Roads) or concerned Municipal/ Local Body.

3.13 “Administrative Department” means the Industries, Commerce and Public Enterprise Department of the State Government.

3.14 “Local Body” means a Municipal Corporation, Municipal Council or Municipal Board in a Municipal area, a Development Authority or Urban Improvement Trust in an urban area declared under the relevant law (excluding Municipal area) and Gram Panchayat for Rural areas

(excluding the area under the jurisdiction of an Urban Improvement Trust or Development Authority.

3.15 "Act" means the Petroleum and Natural Gas Regulatory Board Act, 2006.

3.16 "Board" means the Petroleum and Natural Gas Regulatory Board established under sub-section (1) of Section 3 of the Act.

3.17 "Regulations" means regulations made by the Board under PNGRB Act, 2006:

3.18 "Authorised Areas" means the specified geographical area for a city or local natural gas distribution network (hereinafter referred to as CGD network) authorised under PNGRB regulations for laying, building, operating or expanding the CGD network which may comprise of either individually or in any combination thereof, depending upon the criteria of economic viability and contiguity viz., geographic area, in its entirety or in part thereof, within a municipal corporation or municipality, any other urban area notified by the Central or the State Government, village, block, tehsil, sub-division or district or any combination thereof.

3.19 "Local Distribution Entity" means a local entity authorised by the Board under section 20 to lay, build, operate or expand a city or local natural gas distribution network.

3.20 "Natural Gas" means gas obtained from bore-holes and consisting primarily of hydrocarbons and includes (i) gas in liquid state viz., liquefied natural gas and degasified liquefied natural gas (ii) compressed natural gas (iii) gas imported through transnational pipe lines , including CNG or liquefied natural gas (iv) gas recovered from gas hydrates as natural gas (v) methane obtained from coal seams namely coal bed methane, but does not include helium occurring in association with such hydrocarbons.

3.21 "City or Local Natural Gas Distribution Network" means an interconnected network of gas pipelines and the associated equipment used for transporting natural gas from a bulk supply high pressure transmission main to the medium pressure distribution grid and subsequently to the service pipes supplying natural gas to domestic, industrial or commercial premises and CNG stations situated in a specified geographical area.

3.22 "Development of a CGD Network" means laying building, operating or expanding a city or local natural gas distribution network.

- 3.23** "Piped Natural Gas" (hereinafter referred as PNG) means natural gas transported through pipelines or cascades or any other permitted mode in a CGD network for consumption by any customer in domestic, commercial or industrial segments and includes natural gas supplied to an online CNG station before its compression:
- 3.24** "Compressed Natural Gas or CNG" means natural gas used as fuel for vehicles, typically compressed to the pressure ranging from 200 to 250 bars in the gaseous state;
- 3.25** "CNG station" means filling station where one or more dispensing units are provided for sale of compressed natural gas.
- 3.26** "CGD entity" means a person, association of persons, firm, company or cooperative society, by whatsoever name called or referred to, other than a dealer or distributor and engaged or intending to be engaged in refining, processing, storage, transportation, distribution, marketing, import and export of petroleum, petroleum products and natural gas including laying of pipelines for transportation of petroleum, petroleum products and natural gas, or laying , building, operating or expanding city or local natural gas distribution network or establishing and operating a liquefied natural gas terminal;
- 3.27** "Work programme" until issuance of authorisation letter, means number of domestic, PNG connections, number of CNG stations and inch-kilometre of steel pipeline networks as quoted by the bidder in the bid and after such issuance means number of domestic PNG connections, number of CNG stations and inch-kilometre of steel pipeline network as mentioned in the authorisation letter as per Schedule D of CGD Authorisation Regulations;
- 3.28** "PRS" means Pressure Regulating Station
- 3.29** "DRS" means District Regulating Station
- 3.30** "MRS" means Metering and Regulating Station
- 3.31** "FRS" means Field Regulating Station
- 3.32** "CGS" means City Gate Station
- 3.33** "TOP" means Tap-Off Point
- 3.34** "SVS" means Sectionalizing Valve Stations